

Subject Code	AF5344
Subject Title	Investments
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This course provides a comprehensive coverage of the basic concepts, theories, applications and decision-making rules for financial investments. A balance between theories and applications, particularly in the Asian securities markets, is emphasized. This subject contributes towards the achievement of the Master of Finance program objectives, in particular (i) apply conceptual frameworks drawn from economics and quantitative method to the analysis of investment issues, and (ii) formulate financial strategies and envision their outcomes.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand modern portfolio theory and its use in the investment management process; - Apply various valuation methods on different financial securities including equity, bonds, and derivatives; - Understand the process of portfolio management and portfolio performance evaluation. - Understand the challenges and opportunities in applying FinTech and data analytical skills in investment management.
Subject Synopsis/ Indicative Syllabus	The Investment Environment Typical investment instruments; investment process; risk free assets; market indexes and benchmarks; short sales; primary and secondary markets for equities and bonds; investment companies; FinTech. Portfolio Theory Measure of return and risk; risk return trade-off; diversification and portfolio risk; optimal risky portfolios; risk-free lending and borrowing; asset allocation. Asset Pricing Models Capital Asset Pricing Model (CAPM); multi-factor models; Efficient Market Hypothesis Theory and empirical evidence in favour of and against market efficiency; limits to arbitrage; behavioural finance; implication of the debate for investors. Efficient market hypothesis.

	Fundamentals of Equity Valuation Valuation concepts and methods; valuation models such as dividend discount model; P/E based models. Implications of financial bubbles and crises for equity valuation. Fundamentals of Bond Analysis Basic features of debt securities; basic valuation models; yield computation; term structure of interest rates; interest rate risk; duration; management of fixed income portfolios. Fundamentals of Derivatives Securities Basic terminology; option payoffs; option strategies; use of derivatives in portfolio management. Performance Evaluation The decomposition of return and risk; risk adjustment in performance evaluation; performance attribution analysis.																																																														
Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through lectures. This allows direct contact and discussion between lecturer and students. Students learn about FinTech and data science through reading assignments, guest lectures, and hands-on practices. Assignments, newspaper articles, and case studies will be used to illustrate the application of the ideas, and to encourage independent learning skills.																																																														
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr><tr><td>1. Class Discussion and Participation</td><td>5%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>2. Mid-Term Test 1</td><td>20%</td><td>✓</td><td>✓</td><td></td><td>✓</td><td></td><td></td></tr><tr><td>3. Mid-Term Test 2</td><td>25%</td><td>✓</td><td></td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>4. Homework</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>5. Final Examination</td><td>40%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class participation (5%) – Students should read assigned readings before the class to prepare for better learning and possible Q&A sessions in class. Homework assignments (10%) test students on their understanding of	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d			1. Class Discussion and Participation	5%	✓	✓	✓	✓			2. Mid-Term Test 1	20%	✓	✓		✓			3. Mid-Term Test 2	25%	✓		✓	✓			4. Homework	10%	✓	✓	✓	✓			5. Final Examination	40%	✓	✓	✓	✓			Total	100 %						
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5. Final Examination	40%	✓	✓	✓	✓																																																										
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	investments theories and valuation methods. Mid-term test 1 (20%): 3 hours closed book examination with compulsory questions covering both the general overview material and the bond material, with heavy emphasis on the bond pricing and bond risk measures. Mid-term test 2 (25%): 3 hours closed book examination with compulsory questions covering materials on stock valuation and portfolio theory. Final examination (40%) – 3 hours closed book examination with compulsory questions covering all the intended learning outcomes. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i> <i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i>	
Student Study Effort Expected	Class contact:	
	▪ Lectures / Seminars	39 Hrs.
	Other student study effort:	
	▪ Reading	39 Hrs.
	▪ Homework	39 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Bodie, Zvi, Alex Kane and Alan J. Marcus, Essentials of Investments, latest edition, McGraw-Hill/Irwin, International edition. (Required Textbook) Bodie, Zvi, Alex Kane and Alan J. Marcus, Investments, recent edition, McGraw-Hill/Irwin.	